

Heading for Change Climate & Gender Due Diligence Questionnaire

In this guide, we provide a brief overview of **Heading for Change's ("HfC")** due diligence process, and then dive into the core of our analysis during diligence, which is the Climate and Gender integration. We take a **holistic and integrated approach to due diligence** — one that balances analytical rigor and depth with flexibility, empathy, and contextual nuance.

Our process ensures that we are able to perform a **deep dive in our core area of focus** — **Climate and Gender Integration** — while also undertaking a comprehensive analysis of strategy and risk that is right-sized for HfC's \$100K check size. In addition, we recognize the influence we hold as investors and have intentionally designed the diligence process in a way that is **respectful, collaborative, and human-centered**. This includes honoring the time and effort of fund managers, offering support and feedback when appropriate, and undertaking the process with grace and ease. We leverage this DD process and underlying areas of inquiry as an overarching framework, while balancing the contexts in which we operate. As such, we adapt due diligence questions according to factors such as political risk, labor force dynamics, or gender pay disparities, any of which may influence the application of an integrated gender and climate lens. We pay attention to power dynamics and other structural barriers in place that managers face, which may be placing first-time and particularly those from historically underrepresented communities, already on the back foot.

The core purpose of the **Climate & Gender due diligence questionnaire (DDQ)** is to better understand: **(a)** the fund manager's commitment to and intentionality regarding climate and gender; **(b)** how the fund's thesis comes to life at this nexus; and **(c)** the processes and practices through which value and impact are created.

We have co-created the DDQ with our Global Advisory Circle and other ecosystem partners, building off the existing suite of gender and climate tools, frameworks and best practices. For example, when it comes to our gender questions, we leverage the [Gender ROI](#), [2X Criteria](#) and [Certification](#) approach, and [Criterion's Standards of Practice](#), among others. Similarly, on the climate front, we have utilized a growing body of frameworks such as the [Task-Force for Climate Related Disclosures](#) (TCFD), [Task-Force on Nature Related Disclosures](#) (TNFD), [IFRS Sustainability Disclosure Standard - Climate related Disclosures](#) (ISSB), [Project Drawdown](#), [UN-Net-Zero Asset Owner's Alliance](#) (NZAO), and [Climate Resilience Investment Framework](#). Lastly, we have built off [ILPA Diversity in Action](#) toolkit, the [Justice Equity Diversity and Inclusion](#) toolkit, [Just Transition Criteria](#), [Due Diligence 2.0](#), [Veris Wealth Partners](#), and others to inform our JEDI and Just Transition lenses.

Climate & Gender Integration Focus

We hone in on the breadth and depth of how this integrated climate and gender lens is being applied; and in particular how the fund is considering the benefits of and opportunities for women as agents of change across the value chain. The degree of a fund's climate and gender integration is evaluated across the fund's investment process and approach, including thesis and strategy, sourcing, screening, due diligence, decision making and post-investment support. Moreover we also evaluate the ways in which the investment thesis and strategy improve women's livelihoods, resilience and adaptive capacity to climate change.

"Women as Agents of Change" is a core element of our investment strategy and seeks investment opportunities, which leverage women's insights and intelligence to create better and more just climate outcomes, underpinned by growing evidence that climate solutions have the best chance of success when women are engaged in their creation at every level. These opportunities exist across the entire value chain: from fund managers deciding where and in whom capital is invested, to philanthropists financing catalytic projects and de-risking solutions, to entrepreneurs leveraging sustainable land management practices, as well as the key role women play in the workforce, supply chain and their influence as consumers and financial decision makers in their households. This thesis is not about placing additional burden on women to be saviours but rather valuing their ongoing contributions to driving inclusive climate action, working with local communities and innovators, and designing climate and gender-smart solutions and funds.

We leverage this analysis to identify key risks and mitigating factors and areas of improvement, enabling us to conduct a well-rounded assessment of the fund. We get clear on what excites us about the opportunity, and what makes this fund a strong fit for the global demonstration portfolio, and identify ways to enhance longer-term impact and value creation.

Climate & Gender Due Diligence Questionnaire

Part 1: Investment Strategy, Opportunity, Risks & Impact

Strategy & Thesis

1) How are you integrating a gender lens in your investment thesis?

- Follow ups:
 - How has applying an integrated climate and gender lens informed or enhanced your investment thesis and intended financial and/or impact outcomes?
 - How are you integrating an intersectional approach in how the gender lens is applied?

For example: Accounting for differentiated needs of varied groups (in terms of identities across race/age/income/race/ethnicity etc) or how structural barriers impact the product strategy.

2) In what ways does your investment thesis and strategy consider women as agents of change?

For example: As (a) innovators/inventors/scientists; (b) as entrepreneurs/business owners; (c) leaders and decision makers; (d) a substantial part of the workforce (e) suppliers/in the supply chain and/or as (f) consumers?

- Follow ups:
 - What does this framing of “women as agents of change” mean to you?
 - How has it influenced the way in which you have shaped your thesis and strategy?
 - If this is not language you use, how are you currently framing your integrated climate and gender lens? What framing have you found effective so as to reach different investors?

Opportunity: Women as Agents of Change

1) Can you share evidence/examples from your portfolio or pipeline that illustrates how the gender lens and women's involvement in the climate solutions value chain supports better environmental, social and/or financial outcomes?

For example: Environmental: reduced emissions, adaptive capacity/resilience to climate change, Social: economic empowerment, better health outcomes, safety and security, etc Financial: company/fund performance.

2) How has bringing a gender lens to your climate investment helped you to spot new market opportunities and climate solutions?

Investment Process

1) How are you thinking about women as agents of change across your investment process?

Please provide examples across the fund's investment process: (a) Opportunity Identification; (b) Deal Sourcing; (c) Screening & Due Diligence; (d) Measuring & Monitoring Impact.

2) How are you supporting your portfolio in deepening its gender lens and using an integrated climate & gender lens in their business?

For example: (a) creating or accelerating opportunities for women entrepreneurs / leaders to advance climate smart business practices, (b) creating quality green jobs or opportunities for women in the workforce or in the supply chain, (c) opportunity mapping, product development, marketing strategy, sales channels, training & re-/up-skilling, etc?

- Follow up: Do you offer any type of post-investment support that's specifically related to improving gender outcomes?

3) Does your investment process adopt inclusive and participatory elements?

For example: (a) consulting with women's rights organisations/climate activists, (b) bringing in diverse voices from the community into your investment decision making/ investment committee etc.

The Risks

- 1) What are the key climate/nature-related risks you are seeking to address with your investment thesis and/or in each of your fund's areas of investment focus? To what extent, if at all, are women or girls disproportionately impacted by these risks?
- 2) How does your investment thesis address the specific risks facing women in the sector of focus and the potential vulnerability of women and girls to these risks?
- 3) Does your thesis/do any of your pipeline/portfolio investments enhance women's resilience and adaptive capacity to these risks? Please provide examples from the strategy / pipeline / portfolio
- 4) Are there potential risks to the fund's investment strategy, process or performance - or that of your portfolio companies - by not intentionally including / focusing on women & girls?

For example: market, operational, financial, compliance, reputational, impact?

- 5) Does your thesis and approach explicitly address gender-based violence and harassment?

The Barriers

- 1) Are you aware of the barriers for women across the value chain in which you operate? What is your approach to addressing these barriers? How is the investment process modified to address these barriers?

Barriers could include: (a) vulnerability in the supply chain b) sticky social norms and structural barriers and biases, c) skills / training / education gaps d) limited access to adequate care, e) health related benefits. Mitigating elements could include policies which address material risks, exploitation in the supply chain, training/skills etc support women to undertake these roles and in turn improve their livelihoods etc

- 2) Do women have equal access to jobs or roles in the industries you are focused on? If not, what are the barriers, and does your investment thesis consider addressing them?

Impact: Climate & Gender Outcomes

1) How open/interested are you in deepening the climate and gender integration within your fund?

- Follow up: What does that look like going forward for your fund? Are you interested in / open to help and support?

2) Are you investing in businesses which leverage gender analysis and/or make or offer gender AND climate-smart products or services?

- Follow up: Are your investments addressing known gender gaps and inequalities? Please share an example of an investment which has designed or refined a product or service to better serve women customers and/or improve women's access to and benefit from climate-smart, ecologically responsible, and/or healthier solutions

For example: Increasing access to sustainable productive inputs, enhances women farmers agricultural productivity, improving local food security

3) What evidence of gender and climate positive impact is being regularly tracked and shared? What does the data get used for?

- Follow up: How is this evidence gathered (anecdotal evidence, descriptive accounts, structured surveys, interviews, or focus groups specifically designed to assess gender impacts; case studies independent evaluations, audits of gender-specific programs etc)

4) At the portfolio company level, does a significant proportion of an entity's suppliers comprise women-owned businesses or is there an explicit commitment to working with women-owned businesses?

For example via an explicit gender-responsive procurement policy, ongoing work with initiatives that broaden access to credit, capacity building for women-owned-led suppliers?

Just Transition, Social Justice & Systemic Change DDQs

- In what ways does your investment thesis or approach consider the importance of a just transition?
 - Follow ups:
 - How is a just transition defined in your investment thesis and process?
 - Do you work with portfolio companies on ensuring their solutions/strategies are designed with a just transition in mind?
 - What frameworks do you leverage to better approach the impact of a just transition?
- Does your team adopt a Justice Equity Diversity Inclusion (JEDI) approach in your thesis, process and strategy?

For example: focused on racially/ethnically diverse founders/customers, aiming to support outcomes related to power shifting, enhanced decision making etc

- How / does your investment thesis & strategy contribute to systems change?
- How are you thinking about power, privilege and proximity in your investment thesis?

For example: prioritizing local investment models and norms, supporting models that leverage local investment providers or focus on providing fit-for-purpose capital

- How, if at all, do you endeavour to tackle structural inequality as a fund manager?

For example: Do you have impact-linked carry? If so, is any of the impact-linked carry tied to climate or gender or the nexus of climate or gender - or to addressing any other forms of inequality or inequity?